

Factors

Factors construction– See S3

- Data:
 - Quarterly exchange file (ex.sas7bdat)
 - monthly stock files (msf.sas7bdat)
 - daily stock files (dsf.sas7bdat)
- Quarterly factors:
 - Size (size): quarter end market capital
 - Illiquidity (illiq): each quarter, calculate the average of (absolute value of daily returns/daily volume);
 - Turnover(turnd): each quarter, calculate the average of (daily volume(vol)/shares outstanding);
 - Momentum(prret): past 12 months' cumulative returns

HW 3

- Calculate the following quarterly factors:
 - Volatility: Standard deviation of daily returns for each stock each quarter;
 - Dollar daily turnover: each quarter, calculate the average of daily $(\text{vol} * \text{prc} / \text{shares outstanding})$ for each stock;